crunches in an emergency situation. NBFCs are not part of the payment and settlement system, and cannot issue cheques drawn on themselves. Unlike banks for whom retail deposits are the mainstay, NBFCs typically depend on borrowing wholesale from banks as also the money and bond markets. Only a relatively small number of NBFCs are allowed to mobilize deposits, and to the extent they do, those deposits are not covered by deposit insurance unlike retail deposits with commercial banks.

The business models of NBFCs have evolved reflecting these constraints. As their source of funding is narrower and costlier, NBFCs finance niche segments where they have a comparative advantage in contrast to banks which maintain a diversified portfolio of loans and investments. Because they pose less of a systemic risk compared to banks, NBFCs have historically faced lighter regulation than banks. That perspective has, however, changed over time because of developments in the financial sector having implications for financial stability and consumer protection, resulting in tighter regulation of NBFCs in some respects.

Take financial stability first. We know from the experience of the crisis that the interconnections in the financial system are by far the biggest threat to financial stability. As NBFCs grew in number and size, their interconnection with the rest of the financial sector, and with banks in particular, had not only increased but had also become more complex. Being under lighter regulation, NBFCs were becoming conduits for routing bank finance into risky activities where the banks themselves were restrained from lending, such as real estate development and stock market investment. The Harshad Mehta and Ketan Parekh scams where bank finance had allegedly found its way into stock market speculation are high-profile examples of this regulatory arbitrage. To prevent this leakage of bank money into risky activities via NBFCs, the Reserve Bank had tightened the leverage and reporting requirements for those NBFCs that largely depend on bank financing for their business.

The second reason behind the gradual tightening of NBFC regulation was a growing concern for consumer protection. Because they do not suffer bank-like regulation, NBFCs are able to offer a higher interest rate on the